IN THE SUPREME COURT OF INDIA

CIVIL APPELLATE JURISDICTION

SPECIAL LEAVE PETITION (CIVIL) No. OF 2010

IN THE MATTER OF:

The Zilla Panchayath and another Petitioners

Versus

M/s. Kissan Plastics Ltd and another Respondents

AFFIDAVIT VERIFYING THE SPECIAL LEAVE PETITION

I, Shivanagowda, aged 57 years, s/o. Kalakanagowda Patil, Executive Engineer, Panchayath Raj, Engineering Division, Koppal District, Koppal, today at Bangalore, do hereby solemnly affirm and state on oath as follows:-

1. I am the 1st petitioner in the present Special Leave Petition and I am swearing to this affidavit on behalf of the other petitioner also, as such I am fully conversant with the facts of the case.

2. The contents of the Synopsis and the List of Dates (pages) Special Leave Petition paras 1 to and the I.As respectively have been read by me carefully and I have understood the same, I state that the facts which have been stated therein are true to my knowledge; and no part of it is false; and nothing material has been concealed therefrom.

3. The annexures filed with the Special Leave Petition are all true copies of their respective originals.

Verified at Bangalore on 8th of April 2010.

DEPONENT

No.of corrections

Identified by me

Advocate

SYNOPSIS AND LIST OF DATES

1. The present petition is directed against the judgment dated 23.3.2010 passed by the Hon'ble High Court of Karnataka at Bangalore in M.F.A. No.29/2009 (CPC) on its file, whereby the said Misc.First Appeal filed under Order 23 Rule 1 (d) of the Code of Civil Procedure, 1908 against the order dated 10.12.2008 passed on I.A. No.1 in Misc.Petition No. 874/2007 on the file of the learned XXVII Additional City Civil Judge, Bangalore, dismissing the I.A. No.1 filed by the petitioners under Order 9 Rule 13, read with Section 151 of the Code of Civil Procedure, 1908, for setting aside the exparte judgment and decree dated 12.1.2007 rendered in O.S. No.6830/2002 on its file has been dismissed by the Hon'ble High Court. Hence, this petition for Special Leave.

2. The 1st petitioner is a statutory local authority functioning under the provisions of the Karnataka Panchayath Raj Act, 1993, the 2nd petitioner being a division thereof. The said local authority which has to function under the provisions of the said enactment has to necessarily act in conformity with the orders and directions that would be issued from time to time by the Government of Karnataka, and the said actions and activities of the Panchayath are governed regulated and controlled by the State. In its Department of Rural Development of Panchayath Raj, M.S. Building, Bangalore.

3. The respondents had instituted an original suit in O.S. No.6830/2002 interalia, against the petitioners herein, in the court of the learned City Civil Judge, Bangalore, for recovery of a sum, of Rs.72,20,964/- the said suit was decreed exparte for the said sum with interest thereon at 18.5% per annum, seeking execution of which decree the respondents have filed an execution petition bearing E.P. No. 984/2007 seeking recovery of a sum of Rs.1,40,22,488/- as against the sum of Rs.72,25,964/- which has been

decreed for. Since the suit has been so decreed exparte, and for the genuine reasons which have been adroitly explained by the petitioners in their application/Misc.Petition filed under Order 9 Rule 13 of the Code of Civil Procedure, 1908, for setting aside the said exparte decree, they prayed so that the said exparte decree be set aside and that they be for extended them the required reasonable opportunity of contesting the suit, on its merits. The said petition/application was dismissed by the trial court whereupon the Miscellaneous First Appeal from which this Special Leave Petition has arisen had been filed by the petitioners praying for setting aside the order of dismissal of the said Miscellaneous Petition.

4. The Hon'ble High Court has, on a hyper-technical approach to the case on hand dismissed the said appeal, the result thereof being that the petitioners have had no occasion or opportunity of contesting the suit on its merits but on the other hand have been subjected to the predicament of the respondents hurriedly executing the decree passed in their favour, claiming an astronomical sum of money, by adding to the sum sued for an interest component of Rs.67,96,524/-.

5. The petitioners herein contended in their appeal before the Hon'ble High Court that the delay in their filing the Miscellaneous Petition for setting aside the exparte decree under Order 9 Rule 39 of the Code of Civil Procedure, 1908 was for the reasons mentioned therein and that the same therefore, required to be condoned by the trial court, considering the fact that the petitioners being statutory local authorities, and not private individuals the delay that had crept in was in the natural course of events and that a liberal approach of the Hon'ble Court was required for meeting the ends of justice. It placed reliance, interalia, on the rulings reported in AIR 1987 S.C. page 1352 AIR 1988 S.C. 897; AIR 1996 S.C. page 1623; AIR 1998 S.C. 3222; ILR 2007 Kar.page 1893 and 2008 AIR SCW 5692 for buttressing the proposition that it is a cardinal principle of law that any just cause should not be allowed to be defeated on legal technicalities and that in the very nature of things the petitioners had to be extended the required reasonable opportunity of contesting the suit on its merits. It was therefore further

contended that the approach of the court below in dismissing the Misc.Petition for restoration of the suit and for setting aside the exparte suit was too technical and would not advance the cause of justice but would defeat the same.

6. Per-contra the respondents contended that the order of dismissal of the Misc.Petition for restoration of the suit was justified and that the petitioners were not able to establish that they came to know of the exparte judgment and decree only in the month of June 2007 as they had pleaded, the judgment having been delivered on 12.1.2007.

7. The Hon'ble High Court has dismissed the Misc.First Appeal of the petitioners thereby upholding the order which had been appealed from therein.

8. It is respectfully submitted that the order appealed from herein is wholly erroneous. Barring a mere reference to the various binding precedents which would govern the case on hand on which heavy reliance was placed by the petitioners for supporting their contentions that there was neither remissness nor negligence on their part in contesting the suit and that the delay placed at their doors in approaching the trial court with the Miscellaneous Petition for restoration of the suit could not be made a stumbling block for denying them the required substantial justice of having their say in the matter on the merits of the suit and the suit claimed, the Hon'ble High Court has not considered the ratio of the said rulings which fully apply to the case on hand. It has, on the other hand quite unfortunately proceeded on a hyper-technical approach to the case on hand that the judgment and decree passed in the suit, the suit exparte were delivered on 12.7.2007 and that the petitioners were aware of the same on 9.4.2007 and that their stating that they came to know of the same in June 2007 was not acceptable to the court and that therefore the dismissal of the Miscellaneous Petition for restoration of the suit was not tenable.

9. It is most respectfully submitted that the cause of justice would richly commend the judgment appealed from herein being set aside by allowing the Miscellaneous First Appeal filed by the petitioners, thereby setting aside the exparte decree that has been passed against them and directing the trial court to try the suit after affording to the petitioner the required reasonable opportunity of contesting the suit on its merits.

10. It is most respectfully submitted that it is quite well-settled in law by the authoritative pronouncements of this Hon'ble Court, particularly in the case of State of Bihar Vs. Khameshwar Singh vide 2000 (9) SCC page 94, following the several celebrated rulings of this Hon'ble Court reported in 1987 (2) SCC page 107; 1975 (2) SCC 840; 1969 (1) SCR 1006; 1979 (4) SCC 365; 1969 (2) SCC 770; 1981 Supp. SCC 72; 1982 (3) SCC 366; 1984 (4) SCC 66; 1987 Supp. SCC 339; 1988 (2) SCC page 142; 1999 (1) SCC 174; 1993 (1) SCC 572; 1993 Supp. (1) SCC 487; 1994 Supp. (2) SCC 507; 1995 Supp (1) SCC page 37 and 1996 (3) SCC page 132 as also 1995 (6) SCC 614 that the primary function of a court is to adjudicate disputes between the parties and to advance substantial justice and the object of providing remedy is to repair the damage caused by legal injury and if the explanation for delay in approaching the court does not smack of malafides or it is not shown, you have been put forth as a part of dilatory strategy the court must show utmost consideration to the suitor and also that dismissing the appeals on technical grounds of limitation would not in any way advance the interest of justice but admittedly result in a failure of justice and also that the technicalities of law cannot prevent the courts from doing substantial justice and undoing the illegality perpetuated on the basis of such judgment rendered on technicalities. It is therefore most respectfully submitted that the judgment appealed from herein is plainly opposed to the ratio of the aforementioned rulings of this Hon'ble Court which, in judicial discipline would require to be applied by the Hon'ble High Court for allowing the Miscellaneous First Appeal of the petitioners which has since been dismissed by it on hyper technical grounds.

LIST OF DATES:

12.12007:	O.S. No. 6830/2002 filed by the 1st respondent was decreed exparte for Rs.72,20,964/- with interest thereon at Rs.18.5% per annum.
27.9.2007:	The District Government Pleader, Bangalore, conveyed his opinion to the Assistant Solicitor & Ex-officio, Under Secretary to Government, Department of Law, Justice & Human Rights (Litigation-7), Bangalore, that the suit having been decreed exparte, the case was fit for being taken up in appeal.
9.10.2007:	The Government of Karnataka, Department of Law and Justice and Human Rights litigation VII passed an order bearing Order No. Laq 1040 LSP 2007 Bangalore, dated 9.10.2007 according sanction for filing an application under Order 9 Rule 13 of the Code of Civil Procedure, 1908 in the aforementioned original suit.
25.10.2007	The District, Government Pleader, Bangalore conveyed the same to the 1st petitioner.
12.11.2007	Miscellaneous Petition No.874/2007 praying for setting aside exparte decree dated 12.1.2007 was filed by the petitioners.
15.11.2007	The trial court passed an interim order of stay of the execution of the said exparte decree since an execution petition in E.P. No.984/2007 had already been filed by the 1st respondent, by then. Accepting the contention that the petitioners were due to the 1st respondent only in a sum of Rs.1,03,745/- and

not the decreetal sum of Rs.75,25,964/- and that the trial court was therefore satisfied that the petitioners had made out a prima-facie case for granting the stay of the execution of the decree for recovery of Rs.1,51,30,571/- that the 1st respondent had claimed in its execution petition it granted such an order.

10.12.2008 The Misc.Petition No. 87/2007 for setting aside the exparte decree dated 12.1.2007 stood dismissed.

23.3.2010 The Misc.F.A. No.29/2009 (CPC) that the petitioners had filed in the Hon'ble High Court of Bangalore, against the aforementioned order dated 10.12.2008 has been dismissed, on a hyper-technicality, however even dwelling on the merits of the case also but mainly based on the delay in filing the Misc. Petition for restoration of the suit.

It is respectfully submitted that the petition involves substantial questions of law of considerable importance as to the requirement of a liberal approach to the cases involving delay in approaching a court of law and in particular the unavoidable governmental delaying in such matters, that the courts must approach such cases liberally for rendering even justice on merits in preference to a technical approach which would scuttle decisions on merits as ruled by this Hon'ble Court in 1987 S.C. 1353 (Collector Land Acquisition Ananthnag and others Vs. Mst. Khatiji and others) = 1987 (2) SCC page 107.

A similar view having been expressed by this Hon'ble Court, interalia, in the case of the State of Bihar Vs. Khameshwar Prasad Singh and others, reported in 2000

(9) SCC 94 which ruling in turn refers in paragraph 12 thereof to over 18 rulings on the same subject - paragraph 13 thereof referring to and following the rulings of this Hon'ble Court rendered in the cases of Nand Kishore Vs. The State of Punjab reported in 1995 (6) SCC 614 and N. Balakrishna Vs. M. Krishnamurthy reported in 1998 (7) SCC at page 123.

Thus the questions involved in this petition are, in the most respectful submission of the petitioners fully covered in their favour by the said authoritative pronouncements of this Hon'ble Court.

12.4.2010 Special Leave Petition filed.

IN THE SUPREME COURT OF INDIA AT NEW DELHI

(Order XVI Rule 4(1)(a)
Civil Appeal Jurisdiction)

Special Leave Petition

(Under Article 136 of the Constitution of India)

With prayer for interim relief

Special Leave Petition (Civil) No. /2008

POSITIONS OF PARTIES

	In the Trial Court	In the High Court	In this Court
In the matter of :-			
1. The Zilla Panchayat, Koppal District, Koppal-583 231 Karnataka, Represented by its Chief Executive Officer 2. The Zilla Panchayat Engineering Division, Koppal Sub-Division, Koppal District – 563 125 Karnataka, represented by its Executive Officer`	Defendants (2 and 3)	Respondents/ Petitioners in the M.F.A.	Petitioners
And:-			
1. M/s. Kissan Plastics Ltd, Represented by its Managing Director, C.S. Chand Pasha, Aged 53 years, Father's name not known, Chelur Road, Chintamani, Kolar District, Kolar – 563 125 Karnataka	Plaintiff No.2	Appellant	Respondent

2. The Deputy Chief Manager (PVC)
Karnataka Small Scale Industries,
Marketing Ltd.,
Ganapath Building, II Main,
Vyalikaval,
Bangalore – 560 003
Karnataka

Defendant No.1	Appellant (Respondents in M.F.A).	Respondents

PETITION FOR SPECIAL LEAVE UNDER ARTICLE 136 OF THE CONSTITUTION OF INDIA READ WITH ORDER XVI OF THE SUPREME COURT RULES.

To,

The Hon'ble Chief Justice of India,
and his Companion Justices of the
Hon'ble Supreme Court of India,
New Delhi.

The humble petition of the above petitioner named

1. MOST RESPECTFULLY SHOWETH AS FOLLOWS:-

That this Special leave Petition is directed against the judgment dated the 23rd day of March 2010, passed by the Hon'ble High Court of Karnataka at Bangalore, in M.F.A. No.29/2009 (CPC) on its file, whereby the said appeal filed by the petitioners herein has been dismissed.

2. QUESTIONS OF LAW :-

(i). Is the approach of the Hon'ble High Court to the appeal filed by the petitioners herein tenable in law, the said approach being too hyper-technical and opposed interalia to the ratio of the decisions of this Hon'ble Court in the various rulings referred to in the judgment appealed from, as also in the memorandum of this Special Leave Petition and in particular to the ruling rendered in the cases of State of Bihar Vs. Khameshwar Prasad Singh and others reported in 2000 (9) SCC 94 that the courts have to approach any

case as regards delay in approaching the court, in such a way as to advance the cause of justice and not that technicalities should be legalised and for that the courts must always allow the case being decided on merits and not scuttle the same on technical grounds ?

(ii) Has not the Hon'ble High Court gravely erred in not applying the ratio discedendi of the said rulings to the case on hand and also in failing to analise the same though has merely referred to some of them ?.

(iii) Is the finding recorded in paragraph 12 of the judgment that the decision on which the petitioners placed reliance in support of the preposition advanced in support of their appeal are altogether under different circumstances and that therefore the ratio thereof would not be applicable to the case on hand.

(iv) Is not the approach of the Hon'ble High Court to the case on hand, too hyper-technical as seen from paragraph 13 of the judgment appealed from ?.

(v) Has not the exparte decree for Rs.72,25,964/- as against the liability of the petitioners to a tune of Rs.1,03,745/- and the astronomical sum of Rs.1,40,22,488/- that the respondent 1 has claimed in its execution petition, resulted in a colossal failure of justice to the petitioners and an unjust enrichment of the 1st respondent at the cost of the petitioners, if the said claim is allowed to be executed as has been sought by it ?

(vi) What should be the proper approach of the courts below to the cases of this type where unavoidable governmental delay would creep in ?

3. DECLARATION IN TERMS OF RULE 4(2) :-

The petitioners state that no other petition seeking leave to appeal has been filed by either of them against the judgment questioned in this Special Leave Petition, previously.

4. DECLARATION IN TERMS OF RULE 6 :-

The Annexures P1 to_____ produced with the Special Leave Petition are all true copies of the documents which formed part of the records of the case in the High Court from the judgment of which court the present Special Leave Petition has arisen.

5. GROUNDS :-

Leave to appeal is sought by the petitioners, on the following grounds.

I. Because the judgment appealed from is plainly opposed to the ratio of the rulings of this Hon'ble Court that ,in dealing with questions of delay in approaching a court of law particularly when the government or its authorities or the litigation at whose doors delay is placed that the same should be dealt with liberally for doing even justice to the parties, on the merits of the claim, has not been followed in the judgment appealed from herein.

II. Because the petitioners herein are in no way liable to answer the suit claim of Rs.72,25,964/- as against their liability to pay Rs.1,03,745/- only, and therefore the claim made in the execution petition for a sum of Rs.1,40,22,488/- is wholly baseless and unconscionable.

III. Because the court below has proceeded on a hyper technical approach to the case on hand, without appreciating the just and sufficient cause pleaded for the reasonable delay in filing the petition for restoration of the suit by recalling the exparte decree and judgment dated 12.1.2007.

6. GROUNDS FOR INTERIM RELIEF :-

(i) Since the 1st respondent has already sued out the execution of the exparte decree and attached, the Bank Account of the 1st petitioner and the amount claimed in the Execution Petition and the decree to claim has been remitted by the Bank to the Trial Court (the executing

court) through a demand draft and the same has been held in the custody of the trial court which has advanced the execution petition from 30.6.2010 to 31.3.2010 and now the same stands posted to 13.4.2010 when the amount so attached and kept in deposit with the trial court is likely to be released to the 1st petitioner. The same will would result in not only a grave hardship to the petitioners but also in an unjust enrichment of the 1st respondent it is just and necessary that the petitioner who have made out a prima-facie case for grant of Special leave to appeal from the judgment appealed from herein, to grant an interim order of stay of all further proceedings in the execution petition that the 1st respondent has filed.

7. MAIN PRAYER :-

It is, therefore, most respectfully prayed that this Hon'ble Court graciously be pleased to :-

a) GRANT Special Leave to appeal from the final judgment/ORDER dated 23.3.2010 passed by the Hon'ble High Court of Karnataka, Bangalore, in M.F.A. No.29/2010 on its file;

and

b) PASS such other or further orders as this Hon'ble Court may deem just and proper in the facts and circumstances of the case, including the award of the costs of the proceedings althrough, and in the interest of justice and equity.

8. PRAYER FOR INTERIM RELIEF :-

It is, therefore, most respectfully prayed that your Lordships may graciously be pleased to:

(a) ***grant*** an ad-interim order of stay of all further proceedings in E.P. No. 984/2009 on the file of the learned XVII Additional City Civil Judge, (CCH 12), Bangalore; and confirm the same after service of notice on them;

and

(b) ***pass*** such other order or orders which this Hon'ble Court may deem fit and proper in the interest of justice.

New Delhi
Date:

Advocate for the Petitioners

IN THE COURT OF XVII ADDITIONAL CITY CIVIL JUDGE AT BANGALORE

E.P. No. 984/2007

Between:

M/s. KISSAN Plastics and another — Decree Holders

And

The Zilla Panchayath and another — JUDGMENT DEBTOR

MEMO FILED BY THE JUDGMENT DEBTOR

Questioning the dismissal of M.F.A. No.29/2009 (CPC) dated 23.3.2010 ordered by the Hon'ble High Court of Karnataka, these Judgment Debtors have approached the Hon'ble Supreme Court of India with a Special Leave Petition (Civil) in Dairy No. 11602/2010, which has been filed yesterday. The petition is likely to come up for consideration, shortly.

Smt. K.V. Bharathi Upadhyaya, Advocate on record, No.101, Daphthari Chambers, Supreme Court of India, New Delhi – 110 001 is the learned counsel through whom the said Special Leave Petition has been filed.

Therefore, it is respectfully prayed that further proceedings in the above Execution Petition be deferred, awaiting the outcome of the Special Leave Petition, in the interest of justice and equity.

Bangalore
Date: 13.4.2010

Advocate for the Judgment Debtor

Date: 13.4.2010

Questioning the dismissal of the Miscellaneous Petition for setting aside the exparte decree that has been passed by the court of the learned XVII Additional, City Civil Judge, Bangalore, in original suit that had been filed by M/s. Kissan Plastics Pvt. Ltd., Chintamani, Bangalore. A Miscellaneous First Appeal in M.F.A No. 29/2009 (CPC) had been filed by the Zilla Panchayat, Koppal District. The said appeal having been dismissed by the Hon'ble High Court by its judgment dated 23.3.2010, the said dismissal has been challenged by the Zilla Panchayat before the Hon'ble Supreme Court of India in S.L.P. (Civil) filed by it yesterday the 12th instant. A stay of the execution of the exparte decree has also been sought in the said petition. It has also been further prayed therein that the amount of Rs.1,51,30,571/- which has been attached and held in deposit with the City Civil Court shall not be released to the decree holder during the pendency of the Special Leave Petition which has been registered in Dairy No.11602/2010 on its file, yesterday. Arrangements have been made with the learned Advocate on record, Supreme Court of India, New Delhi for moving the said petition for preliminary hearing at an early date. This is the stage proceedings.